Samsung C&T (028260 KS)

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High-tech projects to drive growth

3Q26 preview: OP likely meets consensus

We estimate 3Q26 consolidated sales at W11.3062tn (+11.4% YoY) and OP at W966.3bn (-2.8% YoY, OPM 8.5%), both broadly in line with consensus of W11.54tn and W975.4bn, respectively.

The construction division's earnings improvement should accelerate in 2H26 versus 1H26, led by high-tech projects. Meanwhile, the trading division likely saw a slowdown from a strong 2Q26, with sales estimated at W3.9022tn (-17.0% QoQ) and OP at W8.9bn (-37.3% QoQ, OPM 2.3%).

High-tech: orders and earnings progressing smoothly

We believe 3Q26 orders included those for Apgujeong District 4 (approximately W2tn, converted from construction rights into a booked order) and increases in the values of existing high-tech contracts. Having already secured 94% of its annual high-tech order guidance of W6.8tn in 1H26, the firm could revise up full-year order guidance of W23.5tn.

Construction of Samsung Electronics P4 fab is expected to be completed by year-end, while an order for finishing work on Pyeongtaek P5 Phase 1 is expected in 4Q26, likely around November. Pyeongtaek projects, including P5 Phase 2, should continue to generate revenue through 2029, driving construction division earnings.

In housing, the company secured construction rights for the Mapo Hangang Samsung Apartment remodeling and Yeouido Mokhwa Apartment reconstruction projects in 3Q26. In nuclear power, Samsung C&T is expected to benefit from the selection of a contractor for Romania's large-scale nuclear power plant project, anticipated at year-end.

Maintain BUY and target price of W510,000

We maintain BUY and our target price of W510,000. We expect upward revisions to earnings estimates as P5 construction ramps up and the firm secures orders for the Yongin semiconductor cluster, where construction volume is expected to exceed that of Pyeongtaek.

BUY (M)

Target price	W510,000 (M)
Previous target price	W510,000
Current price (Oct 16)	W286,500
Upside potential	78%

Market cap (Wbn)	46,461
Shares outstanding	163,635,171
Avg daily T/O (2M, Wbn)	138
Avg daily volume (2M, shrs)	400,470
52-week high/low (won)	535,000 / 204,500
Foreign ownership (%)	30.66%
Dividend yield (%)	1.17%
Major shareholders	Jae-yong Lee & others

Stock performance

(%)	1M	3M	12M
Absolute	(19.0)	(17.2)	32.0
Relative	(3.9)	(0.4)	(12.7)
Abs (US$)	(16.7)	(7.9)	40.6

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	11,306	11.4	-5.7	11,409	-0.9
OP	966	-2.7	-6.3	994	-2.8
Pre-tax net profit	1,159	-3.9	7.6	1,211	-4.3
Net profit, CI	637	12.4	6.9	616	3.3
OPM (%)	8.5	-1.3 %pt	-0.1 %pt	8.7	-0.2 %pt
NPM (%)	5.6	0	+0.6 %pt	5.4	+0.2 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	42,103	40,742	45,787	51,840
OP	2,983	3,293	3,730	4,424
Net profit, CI	2,230	2,439	2,609	2,908
P/E (x)	11.3	11.6	18.0	16.0
P/B (x)	0.7	0.5	0.4	0.4
EV/EBITDA (x)	7.9	7.9	10.5	8.7
ROE (%)	6.8	6.0	3.3	2.7

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Samsung C&T: earnings trend and forecast											(Wbn)
	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	**9,738**	**10,022**	**10,151**	**10,832**	**10,466**	**11,995**	**11,306**	**12,020**	**40,743**	**45,787**	**51,840**
% YoY	-9.8%	-8.9%	-1.5%	8.4%	7.5%	19.7%	11.4%	11.0%	-3.2%	12.4%	13.2%
Construction	3,620	3,395	3,090	4,044	3,413	3,988	4,107	4,664	14,149	16,172	18,799
Building	2,729	2,329	2,059	2,880	2,245	2,631	2,904	3,395	9,997	11,175	13,370
Civil	194	159	197	222	108	127	128	138	772	501	366
Plant	697	907	834	942	1,060	1,230	1,074	1,131	3,380	4,495	5,062
Trading	3,436	3,776	3,885	3,540	4,114	4,703	3,902	3,766	14,637	16,485	18,567
Fashion	504	510	445	560	573	593	472	583	2,019	2,221	2,443
Leisure	108	223	205	186	105	206	183	172	722	666	614
F&B	771	828	866	799	825	886	909	876	3,264	3,496	3,744
Bio	1,299	1,290	1,660	1,703	1,436	1,619	1,734	1,959	5,952	6,748	7,673
Gross profit	**1,753**	**1,801**	**2,051**	**2,082**	**1,869**	**2,214**	**1,975**	**2,163**	**7,687**	**8,221**	**9,280**
% YoY	6.3%	-5.9%	19.9%	13.5%	6.6%	22.9%	-3.7%	3.9%	8.2%	6.9%	12.9%
OP	**724**	**753**	**994**	**822**	**720**	**1,032**	**966**	**1,012**	**3,293**	**3,730**	**4,424**
% YoY	1.6%	-16.4%	35.1%	29.4%	-0.6%	37.1%	-2.8%	23.1%	10.4%	13.3%	18.6%
Construction	159	118	111	148	111	202	174	171	536	659	815
Trading	63	80	76	53	109	142	89	89	272	429	467
Fashion	34	33	12	45	38	54	23	47	124	163	178
Leisure	(31)	9	20	20	(35)	0	29	19	18	13	24
F&B	19	45	53	35	14	48	53	33	152	148	174
Bio	480	468	722	521	483	586	598	652	2,191	2,319	2,765
Pretax profit	**1,204**	**753**	**1,205**	**1,099**	**1,345**	**1,077**	**1,159**	**1,155**	**4,260**	**4,736**	**5,436**
% YoY	13.2%	-27.7%	56.1%	29.8%	11.7%	43.1%	-3.9%	5.1%	14.4%	11.2%	14.8%
Net profit, CI	**733**	**353**	**566**	**787**	**844**	**595**	**637**	**532**	**2,439**	**2,609**	**2,908**
% YoY	0.7%	-38.8%	26.4%	64.9%	15.2%	68.8%	12.4%	-32.4%	9.4%	7.0%	11.5%
OPM	**7.4%**	**7.5%**	**9.8%**	**7.6%**	**6.9%**	**8.6%**	**8.5%**	**8.4%**	**8.1%**	**8.1%**	**8.5%**
Construction	4.4%	3.5%	3.6%	3.7%	3.3%	5.1%	4.2%	3.7%	3.8%	4.1%	4.3%
Trading	1.8%	2.1%	2.0%	1.5%	2.6%	3.0%	2.3%	2.4%	1.9%	2.6%	2.5%
Fashion	6.7%	6.5%	2.7%	8.0%	6.6%	9.1%	4.9%	8.1%	6.1%	7.3%	7.3%
Leisure	-28.7%	4.0%	9.8%	10.8%	-33.3%	0.0%	15.9%	10.9%	2.5%	1.9%	4.0%
F&B	2.5%	5.4%	6.1%	4.4%	1.7%	5.4%	5.8%	3.8%	4.7%	4.2%	4.6%
Bio	37.0%	36.3%	43.5%	30.6%	33.6%	36.2%	34.5%	33.3%	36.8%	34.4%	36.0%
Pretax margin	**12.4%**	**7.5%**	**11.9%**	**10.1%**	**12.9%**	**9.0%**	**10.3%**	**9.6%**	**10.5%**	**10.3%**	**10.5%**
Net margin, CI	**7.5%**	**3.5%**	**5.6%**	**7.3%**	**8.1%**	**5.0%**	**5.6%**	**4.4%**	**6.0%**	**5.7%**	**5.6%**

Note: CI = controlling interest; source: company data, Yuanta Securities

3Q26 OP likely in line with consensus (Wbn)

	3Q26E	3Q25	% YoY	2Q26	% QoQ	Consensus	Diff (%)
Sales	11,306	10,151	11.4	11,995	-5.7	11,541	-2.0
OP	966	994	-2.8	1,032	-6.4	975	-0.9
Pretax profit	1,159	1,205	-3.9	1,077	7.6	1,129	2.7
Net profit, CI	637	566	12.4	595	6.9	573	11.1
Operating margin	8.5%	9.8%		8.6%		8.5%	
Pretax margin	10.3%	11.9%		9.0%		9.8%	
Net margin, CI	5.6%	5.6%		5.0%		5.0%	

Note: CI = controlling interest; source: company data, Yuanta Securities

Earnings estimate comparison: our estimate vs consensus (Wbn)

	2026E			2027E		
	Our estimate	Consensus	Difference (%)	Our estimate	Consensus	Difference (%)
Sales	45,787	45,542	0.5	51,840	49,416	4.9
OP	3,730	3,740	-0.3	4,424	4,415	0.2
Pretax profit	4,736	5,012	-5.5	5,436	6,818	-20.3
Net profit, CI	2,609	2,829	-7.8	2,908	3,965	-26.7
Operating margin	8.1%	8.2%		8.5%	8.9%	
Pretax margin	10.3%	11.0%		10.5%	13.8%	
Net margin, CI	5.7%	6.2%		5.6%	8.0%	

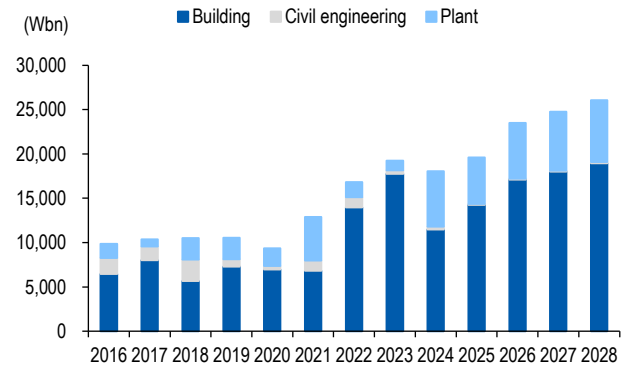
Note: CI = controlling interest; source: FnGuide Quantiwise, Yuanta Securities

Samsung C&T: earnings forecast revision (Wbn)

	Old			New			Difference (%)		
	3Q26E	2026E	2027E	3Q26E	2026E	2027E	3Q26E	2026E	2027E
Sales	10,759	44,100	48,913	11,306	45,787	51,840	5.1%	3.8%	6.0%
OP	962	3,686	4,496	966	3,730	4,424	0.4%	1.2%	-1.6%
OPM	8.9%	8.4%	9.2%	8.5%	8.1%	8.5%	-0.4%p	-0.2%p	-0.7%p
Pretax profit	1,155	4,694	5,518	1,159	4,736	5,436	0.3%	0.9%	-1.5%
Net profit, CI	635	2,589	2,956	637	2,609	2,908	0.3%	0.8%	-1.6%

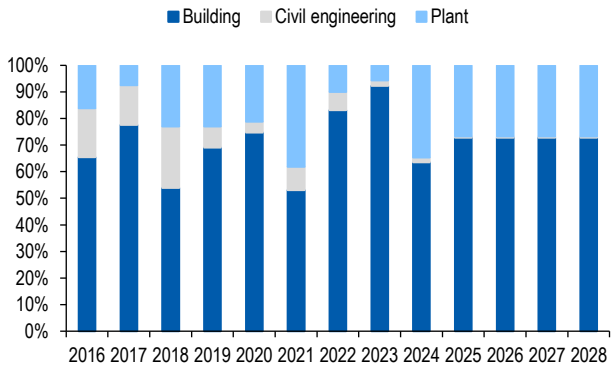
Source: Yuanta Securities

Samsung C&T: construction new orders by segment



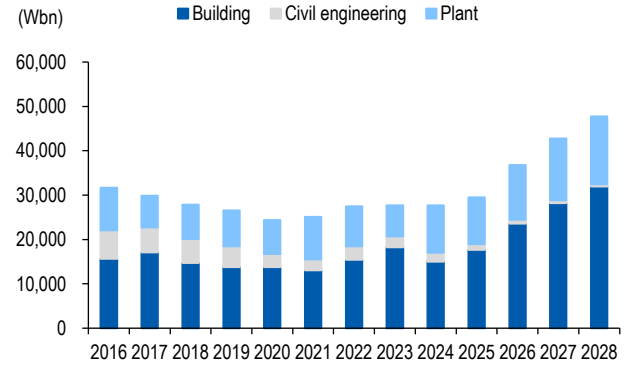
Note: 2026-2028 figures are our estimates; source: company data, Yuanta Securities

Samsung C&T: construction new order share by segment



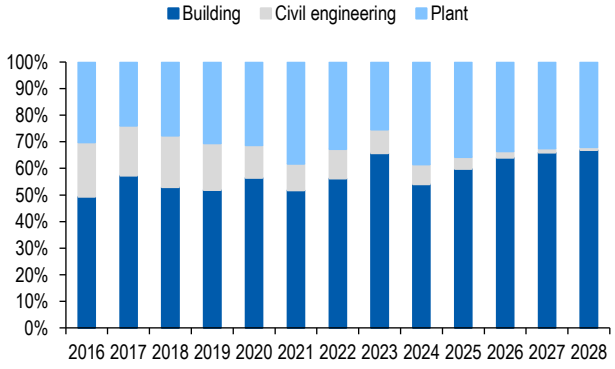
Note: 2026-2028 figures are our estimates; source: company data, Yuanta Securities

Samsung C&T: construction order backlog by segment



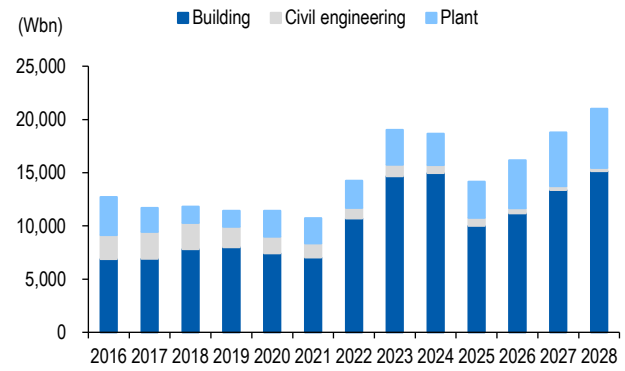
Note: 2026-2028 figures are our estimates; source: company data, Yuanta Securities

Samsung C&T: construction order backlog share by segment



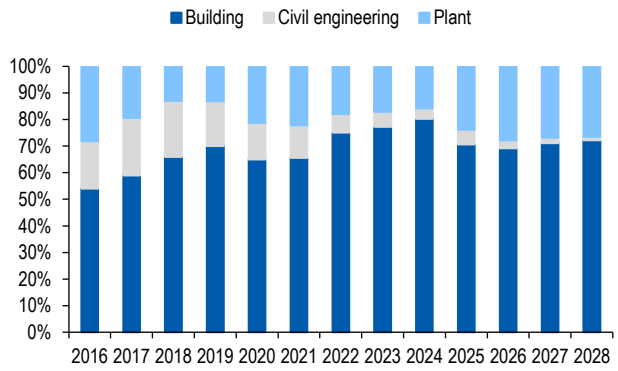
Note: 2026-2028 figures are our estimates; source: company data, Yuanta Securities

Samsung C&T: construction sales by segment



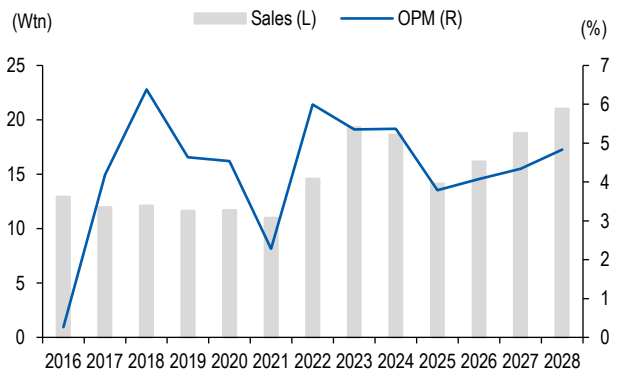
Note: 2026-2028 figures are our estimates; source: company data, Yuanta Securities

Samsung C&T: construction sales share by segment



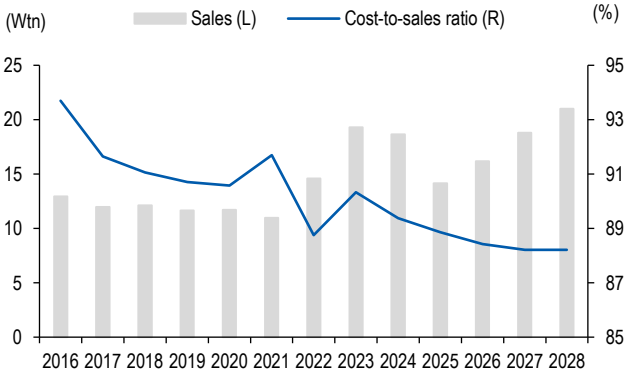
Note: 2026-2028 figures are our estimates; source: company data, Yuanta Securities

Samsung C&T: construction sales and OPM



Note: 2026-2028 figures are our estimates; source: company data, Yuanta Securities

Samsung C&T: construction sales and cost-to-sales ratio



Note: 2026-2028 figures are our estimates; source: company data, Yuanta Securities

Samsung C&T (028260 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**42,103**	**40,742**	**45,787**	**51,840**	**57,854**
Cost of sales	34,996	33,055	37,565	42,560	47,356
Gross profit	7,108	7,688	8,222	9,280	10,498
SG&A	4,124	4,395	4,492	4,856	5,415
Operating profit	**2,983**	**3,293**	**3,730**	**4,424**	**5,083**
EBITDA	3,916	4,351	4,935	5,755	6,541
Non-operating profit	739	968	1,006	1,012	1,178
Forex gains	111	-5	111	0	0
Net interest income	1	66	101	174	331
Equity-method gains	56	78	100	116	117
Other	571	829	694	722	730
Net prof before income tax	3,722	4,260	4,736	5,436	6,261
Income tax	950	354	976	1,305	1,503
Net profit from continuing ops	2,772	3,907	3,760	4,131	4,758
Net profit from discontinued ops	0	0	0	0	0
Net profit	2,772	3,907	3,760	4,131	4,758
NP for controlling interest	**2,230**	**2,439**	**2,609**	**2,908**	**3,259**
Total comprehensive income	-2,231	20,756	58,416	4,146	4,761
Total comprehensive income, CI	-2,764	19,293	57,835	4,115	4,726

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**20,181**	**21,356**	**25,208**	**29,261**	**38,118**
Cash & cash equivalents	3,622	3,458	5,215	7,803	14,327
Accounts receivables & other	8,326	8,528	9,463	10,164	11,212
Inventory	5,126	5,642	6,261	6,724	7,504
Non-current assets	41,809	65,176	140,095	140,857	141,780
Tangible assets	8,650	9,674	10,462	11,142	11,927
Investment in affiliates	938	970	1,077	1,156	1,291
Other investment assets	22,479	45,573	119,590	119,592	119,595
Total assets	**61,990**	**86,533**	**165,303**	**170,118**	**179,898**
Current liabilities	14,747	13,872	15,677	16,673	18,349
Accounts payable & other	6,821	6,656	7,386	7,933	8,853
ST financial liabilities	822	981	1,269	1,269	1,269
Liquid LT liabilities	1,276	771	960	960	960
Non-current liabilities	9,985	15,164	34,169	34,300	38,102
LT financial liabilities	126	643	47	47	47
Debentures	1,616	969	769	769	769
Total liabilities	**24,732**	**29,036**	**49,846**	**50,973**	**56,451**
Equity, controlling interest	31,069	49,912	106,713	109,177	111,981
Paid-in capital	19	19	19	19	19
Capital surplus	10,695	10,651	10,651	10,651	10,651
Retained earnings	14,014	15,510	17,014	19,464	22,265
Equity, non-controlling interest	6,190	7,585	8,745	9,968	11,466
Total equity	**37,259**	**57,497**	**115,457**	**119,145**	**123,448**
Net debt	**-558**	**-1,514**	**-3,688**	**-6,427**	**-13,203**
Total debt	4,693	4,120	4,073	4,097	4,136

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**3,307**	**3,024**	**11,201**	**14,145**	**14,403**
Net profit	2,772	3,907	3,760	4,131	4,758
Depreciation & amortization	933	1,058	1,204	1,330	1,458
Forex gains	-178	-9	-71	0	0
Affiliate investment gains	-56	-78	-100	-116	-117
Increase in net working cap	-727	-1,335	5,443	6,828	6,333
Other	563	-520	965	1,970	1,970
Investing cash flow	**-1,759**	**-1,840**	**-2,416**	**-2,265**	**-2,672**
Investment	-76	145	-53	-82	-137
Increase in tangible assets	-1,628	-1,736	-1,253	-2,010	-2,243
Decrease in tangible assets	42	108	27	0	0
Other	-98	-356	-1,137	-173	-291
Financing cash flow	**-1,298**	**-1,277**	**-792**	**-435**	**-419**
ST financial liabilities	-551	97	318	23	39
Debenture/LT financial liabilities	-62	-670	-365	0	0
Equity	0	-44	0	0	0
Cash dividend	-419	-426	-458	-458	-458
Other cash flow	-265	-234	-287	0	0
Consolidation adj and other	254	-71	-6,237	-8,856	-4,788
Increase in cash & equivalents	**503**	**-164**	**1,756**	**2,589**	**6,524**
Beginning cash & equivalents	3,120	3,622	3,458	5,215	7,803
Ending cash & equivalents	3,622	3,458	5,215	7,803	14,327
NOPLAT	2,983	3,293	**3,730**	**4,424**	**5,083**
FCF	**1,679**	**1,287**	**9,948**	**12,135**	**12,160**

Valuation

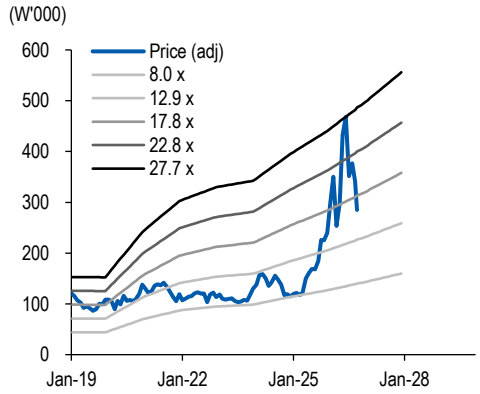
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	12,361	14,262	15,910	17,907	20,073
BPS (won)	189,865	305,019	652,138	667,199	684,335
EBITDA/shr (won)	21,564	25,269	29,875	35,167	39,971
SPS (won)	231,815	236,608	277,203	316,802	353,554
DPS (won)	2,600	2,800	2,800	2,800	2,800
P/E (x)	**11.3**	**11.6**	**18.0**	**16.0**	**14.3**
P/B (x)	**0.7**	**0.5**	**0.4**	**0.4**	**0.4**
EV/EBITDA (x)	**7.9**	**7.9**	**10.5**	**8.7**	**6.9**
P/S (x)	**0.6**	**0.7**	**1.0**	**0.9**	**0.8**

Key financial data

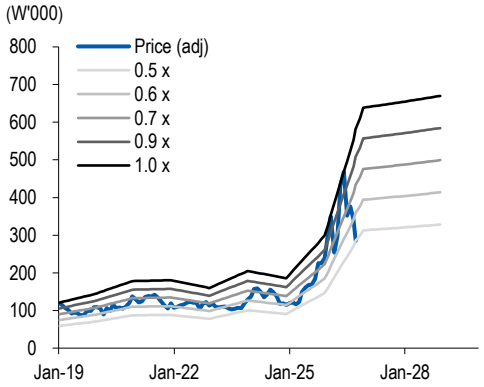
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**0.5**	**-3.2**	**12.4**	**13.2**	**11.6**
Operating profit (%YoY)	**3.9**	**10.4**	**13.3**	**18.6**	**14.9**
Net profit, CI (%YoY)	**0.5**	**9.4**	**7.0**	**11.5**	**12.1**
Gross margin (%)	16.9	18.9	18.0	17.9	18.1
Operating margin (%)	**7.1**	**8.1**	**8.1**	**8.5**	**8.8**
Net margin, CI (%)	5.3	6.0	5.7	5.6	5.6
EBITDA margin (%)	9.3	10.7	10.8	11.1	11.3
ROIC (%)	13.5	16.3	110.9	15.9	33.4
ROA (%)	3.5	3.3	2.1	1.7	1.9
ROE (%)	**6.8**	**6.0**	**3.3**	**2.7**	**2.9**
Debt-to-equity (%)	66.4	50.5	43.2	42.8	45.7
Net debt-to-equity (%)	-1.8	-3.0	-3.5	-5.9	-11.8
OP/financing cost (x)	13.3	23.9	27.5	34.7	39.6

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

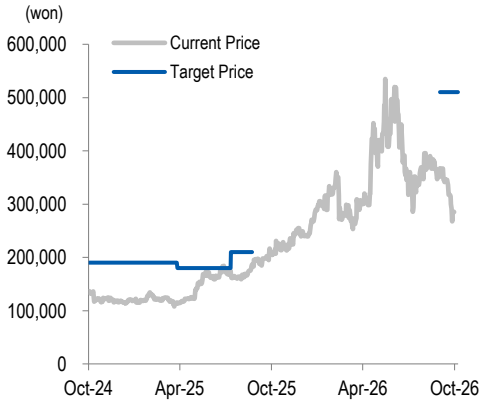
P/E band chart



P/B band chart



Samsung C&T (028260 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/20	BUY	510,000	1 yr		
2026/09/21	BUY	510,000	1 yr		
	Analyst changed				
2025/07/31	BUY	210,000	1 yr	-20.81	-13.14
2025/04/15	BUY	180,000	1 yr	-16.11	2.44
2024/10/21	BUY	190,000	1 yr	-36.17	-28.32
	Analyst changed				
2023/11/27	BUY	170,000	1 yr	-16.08	0.47

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 20, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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